Nor is this advantage—having 100 per cent of such funds put to work for them in place of the smaller amount that would be available after income taxes and brokerage charges—the only one the stockholders get. Selecting the right common stock is not an easy or simple mat-ter. If the company considering the dividends is a good one, the investor has already wisely done his task of selection. Therefore, he is usually running less risk in having this good management make the additional investment of these retained extra earnings than he would be running if he had to again risk serious error in finding some new and equally attractive investment for himself. The more outstanding the company considering whether to retain or pass on increased earnings, the more important this factor can become. This is why even the stockholder who does not pay income tax and who is not spending every bit of his income finds it almost as much to his interest as to the interest of his tax-paying counterpart to have such companies retain funds to take advantage of worthwhile new opportunities.

Measured against this background dividends begin to fall into true perspective. For those desiring the greatest benefit from the use of their funds, dividends begin rapidly to lose the importance that many in the financial community give them. This is as true for the conservative investor going into the institutional type growth stock as for those willing and able to take greater risks for greater gain. The opinion is sometimes expressed that a high dividend return is a factor of safety. The theory behind this is that since the high-yield stock is already offering an above-average return, it cannot be overpriced and is not likely to go down very much. Nothing could be farther from the truth. Every study I have seen on this subject indicates that far more of those stocks giving a bad performance price-wise have come from the high dividend-paying rather than the low dividend-paying group. An otherwise good management which increases dividends, and thereby sacrifices worthwhile opportunities for reinvesting increased earnings in the business, is like the manager of a farm who rushes his magnificent livestock to market the minute he can sell them rather than raising them to the point where he can get the maximum price above his costs. He has produced a little more cash right now but at a frightful cost.

I have commented about a corporation raising its dividend rather than about it paying any dividend at all. I am aware that while the occa-sional investor might not need any income, nearly all do. It is only in rare cases, even